

12. 9:00 AM CASE NUMBER: C26-01077
CASE NAME: PRAVEEN GUPTA VS. DOES 1 THROUGH 20, INCLUSIVE
HEARING ON DEMURRER TO:
FILED BY:
TENTATIVE RULING:

This matter is **CONTINUED**, *sua sponte* by the Court, to September 28, 2026, 9:00 am, in Department 34.

13. 9:00 AM CASE NUMBER: C26-01077
CASE NAME: PRAVEEN GUPTA VS. DOES 1 THROUGH 20, INCLUSIVE
*HEARING ON MOTION IN RE: STRIKE PORTIONS OF COMPLAINT
FILED BY:
TENTATIVE RULING:

This matter is **CONTINUED**, *sua sponte* by the Court, to September 28, 2026, 9:00 am, in Department 34.

14. 9:00 AM CASE NUMBER: MSC22-00134
CASE NAME: RODRIGUEZ VS. STRONG
HEARING ON DEMURRER TO: RE 1ST AMENDED CROSS COMPLAINT OF STRONG
FILED BY: MENDEZ, ALBERTO
TENTATIVE RULING:

Before the Court is a demurrer by cross-defendant Alberto Mendez to the first amended cross-complaint filed by cross-complainant Michelle Strong. The hearing on the demurrer is **CONTINUED to 9:00 a.m. on September 21, 2026** for supplemental briefing, as set forth below.

Background

This action involves disputes over the operation of a restaurant and brewery business in Martinez, now closed. In the main action in the currently operative first amended complaint, Plaintiff Juan Reynaldo Rodriguez has sued Michelle Strong, LaSalle Strong, and Rocksteady Brewery Co. On April 29, 2022, Michelle Strong and LaSalle Strong filed a cross-complaint against Juan Rodriguez. On December 23, 2025, Michelle Strong filed a first amended cross-complaint ("FACC") against Juan Rodriguez, R&A Restaurant Group, LLC ("R&A LLC"), and Alberto Mendez, erroneously named as Albert Mendez that is the subject of the current demurrer. The FACC alleges 12 causes of action. Albert Mendez has filed a general demurrer to certain of those causes of action.

Procedural Defects in the Notice of Demurrer and Opportunity for Supplemental Opposition to the Demurrer to the Eighth Cause of Action

The notice of demurrer states Mendez is making general demurrers to three causes of action: conversion (4th C/A), declaratory relief (10th C/A), and injunctive relief (12th C/A). (Not. of Dem. p. 2, ll. 10-15.) The "Demurrer" on the ensuing page, however, lists general demurrers to four causes of action, the three listed above plus a general demurrer to the eighth cause of action for intentional interference with prospective economic advantage. The memorandum in support of the demurrer

similarly addresses in the introduction only the fourth, tenth, and twelfth causes of action as subject to the demurrer. (MPA p. 2, ll. 8-10 and 13-15.) Yet, later in the brief, Mendez challenges the sufficiency of the allegations of the eighth cause of action. (MPA pp. 4-5.)

The manner of notice and presentation of the demurrers and supporting argument raise questions as to whether cross-complainant was given adequate notice that Mendez was challenging the eighth cause of action. Her opposition addresses specifically the demurrers to the fourth, tenth, and twelfth causes of action but not the eighth cause of action. Given the notice deficiencies stated above, the Court will allow Strong an opportunity to file a supplemental opposition addressing Mendez's general demurrer to the eighth cause of action. Mendez may file, but is not required to file, a supplemental reply addressing arguments made by Strong in her supplemental opposition regarding the eighth cause of action.

Issue of Standing Raised *Sua Sponte* by the Court on Which The Court Requests Supplemental Briefing

Mendez has filed general demurrers to the four causes of action cited above, asserting that cross-complainant Strong has failed to allege facts sufficient to state each of those causes of action, including the fourth cause of action for conversion. The Court's review of the FACC leads the Court to ask for supplemental briefing on the issue of whether, as pled, cross-complainant Strong has standing to sue for the injuries alleged in the fourth cause of action.

A. Standing

Standing to bring a claim is an essential element of a cause of action. (*Schrage v. Schrage* (2021) 69 Cal.App.5th 126, 150-151; *Martin v. Bridgeport Community Assn., Inc.* (2009) 173 Cal.App.4th 1024, 1031 ["Standing is the threshold element required to state a cause of action and, thus, lack of standing may be raised by demurrer. [Citations omitted.]".]) Whether a plaintiff has standing to bring the claim is a question of law. (*Id.* [citing *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 687].) "A plaintiff's lack of standing is treated as a 'jurisdictional' defect and is not waived by a defendant's failure to raise it by demurrer or answer. '[C]ontentions based on a lack of standing involve jurisdictional challenges and may be raised at any time in the proceeding.' [Citations omitted.]" (*NNN Capital Fund I, LLC v. Mikles* (2026) 119 Cal.App.5th 1200, 1209.)

Lack of standing to sue addresses the party's right to relief as a real party in interest and is a ground for sustaining a general demurrer to a complaint. (*Parker v. Bowron* (1953) 40 Cal.2d 344, 351 ["Where the complaint states a cause of action in someone, but not in the plaintiff, a general demurrer for failure to state a cause of action will be sustained. [Citation omitted.]"]; *Friendly Village Community Assn., Inc. v. Silva & Hill Constr. Co.* (1973) 31 Cal.App.3d 220, 224 ["if the complaint shows that he is not a real party in interest and therefore lacks "standing" to sue, a 'general' demurrer will be sustained. [Citations omitted.]"].) " 'Every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute.' (Code Civ. Proc., § 367.) (6) 'The real party in interest is generally the person who has the right to sue under the substantive law. [Citation.] 'A party who is not the real party in interest lacks standing to sue because the claim belongs to someone else.' " [Citations omitted.]" (*NNN Capital Fund I, LLC, supra*, 119 Cal.App.5th at 1210.)

B. Individual Versus Derivative Actions for Injury to Corporation

"Claims for injury or damage to a corporation or its property belong to the corporation, not its stockholders, who have no standing to sue for such wrongs. {Citation omitted.}" (*NNN Capital Fund I, LLC, supra*, 119 Cal. App. 5th at 1212 [quoting *Jones v. H.F. Ahmanson & Co.* (1969) 1 Cal.3d 93, 107].) When the gravamen of the claim alleged is one of injury to the corporation, the corporation has to maintain the suit for remedial action, or a shareholder may bring a derivative action on behalf of the corporation if appropriate. (*NNN Capital Fund I, LLC, supra*, 119 Cal.App.5th at 1212; *Nelson v. Anderson* (1999) 72 Cal. App. 4th 111, 127.) These standing rules, and the requirement of pursuing a shareholder derivative action in order for an individual shareholder to pursue claims for injury to the corporation applies even when the corporation has only two shareholders. (*Nelson, supra*, 72 Cal.App.4th at 127 ["Whether there is one minority shareholder or many, an action is individual only if the stock of the individual plaintiff or plaintiffs is the only stock affected adversely. [Citation omitted.].] Here, the corporation lost earnings, profits, and opportunities, rendering all the shares valueless. When the injury is to the 'whole body of stock,' the action must be derivative. [Citation omitted.].") The Court notes that in January 2025, plaintiff in the main action in this case filed a first amended complaint adding derivative claims related to Rocksteady Brewing Company, naming Rocksteady as a nominal defendant on those claims.

Cross-complainant Strong alleges, in summary, that she was the co-owner, CEO and manager of Rocksteady Brewing Company, a California corporation. (FACC ¶ 1.) She alleges in the fourth cause of action that defendant Mendez and others converted the assets of Rocksteady Brewing Company, because he allegedly "wrongfully took possession of Rocksteady Brewing Company's assets, equipment, goodwill, and use of its liquor license without Strong's consent." (FACC PDF p. 4 [4th C/A, emphasis added].)

The Court requests that cross-complainant include in her supplemental opposition to the demurrer briefing addressing whether she has standing to pursue her claim for conversion as alleged in the fourth cause of action of the FACC. Mendez may address any arguments by Strong in her supplemental opposition on the fourth cause of action, but Mendez is not required to file any supplemental reply.

Supplemental Briefing Dates

Strong's supplemental opposition addressing the two issues above shall be filed **by August 31, 2026**. Any supplemental reply Mendez elects to file shall be filed **by September 8, 2026**. The hearing is continued **to September 21, 2026**.

15. 9:00 AM CASE NUMBER: N25-1849
CASE NAME: GARY DARTEZ VS. CITY OF ANTIOCH RENT PROGRAM
HEARING ON DEMURRER TO: RE FIRST AMENDED PETITION
FILED BY: REDWOOD PROPERTY INVESTORS III, LLC
TENTATIVE RULING:

Redwood Property Investors III, LLC ("Redwood") is named as the "Real Party in Interest" in the operative Verified First Amended Petition filed on February 25, 2026 (the "Amended Petition") by petitioners Gary Dartez and Tamisha Latimor ("Petitioners"). Redwood filed a Demurrer on April 1, 2026 to the Amended